Airbnb’s Financial Analysis: A Story of Risk & Reward (2021-2024)

How Airbnb survived chaos, thrived in recovery, and what’s next.

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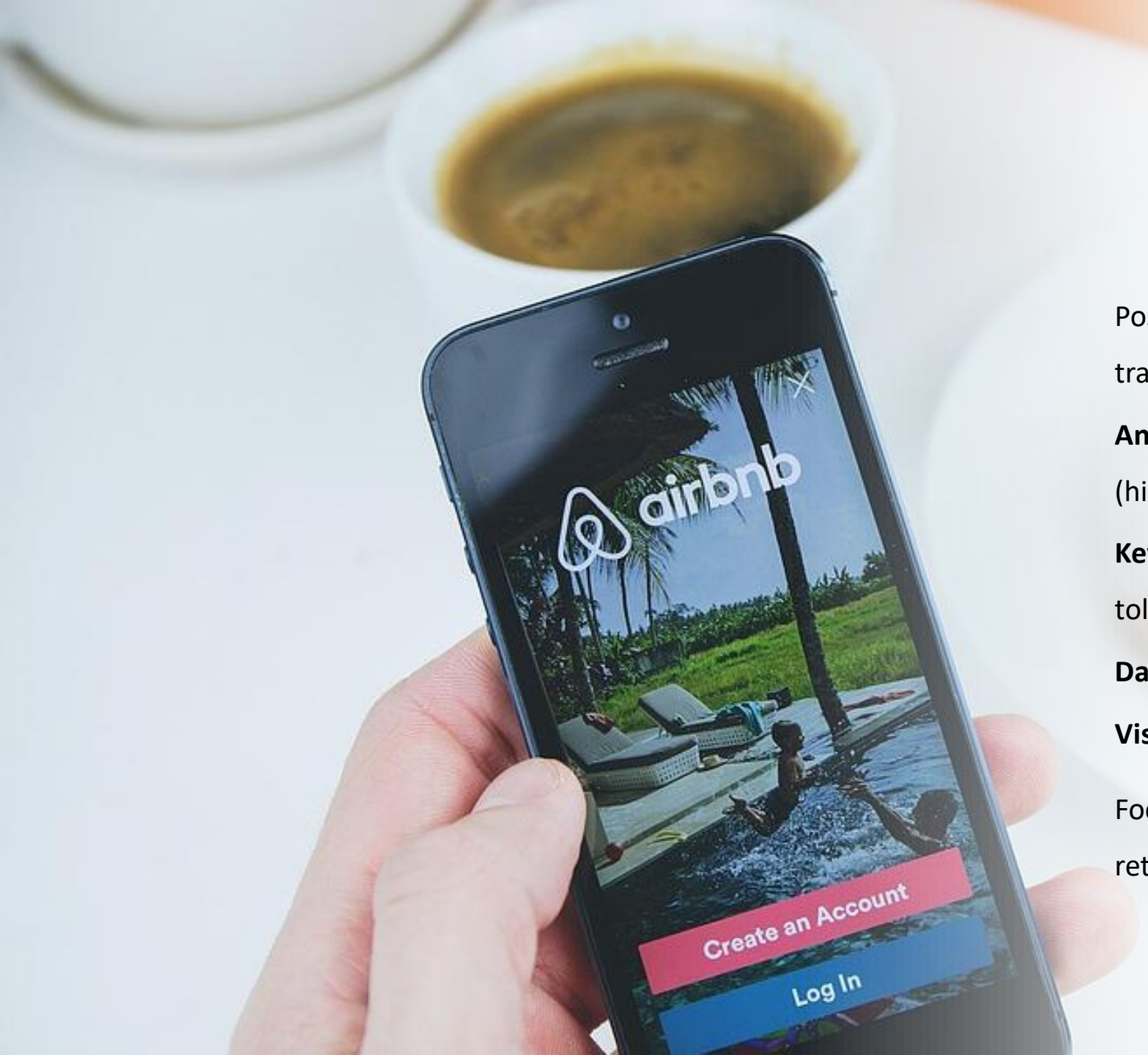


Introduction

Post-pandemic, Airbnb emerged as a key player in travel and hospitality.

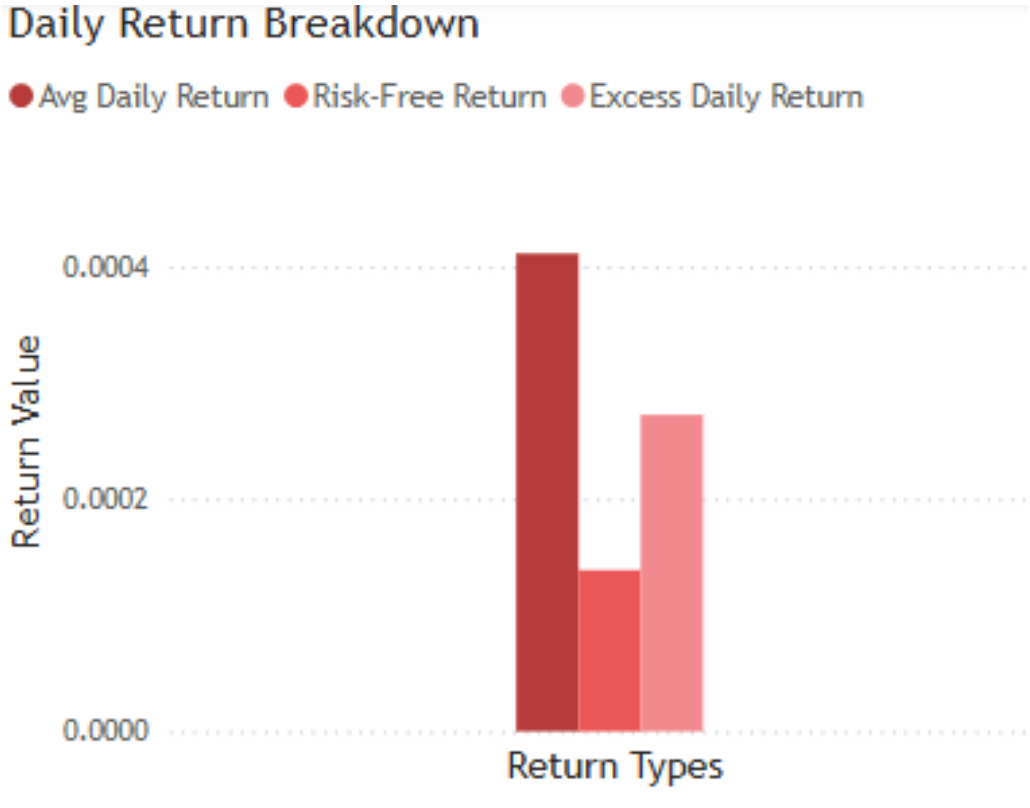
Analyzed: Returns (11% annualized), volatility (high), beta (1.58).

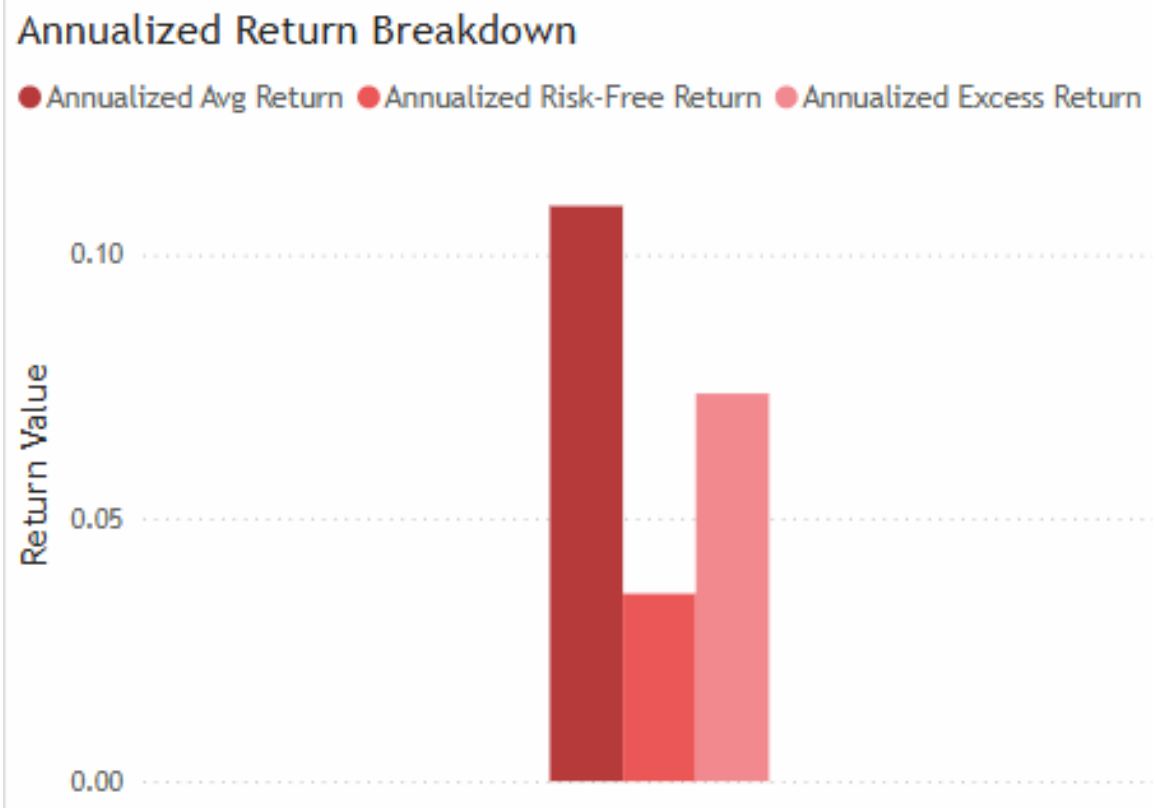
Key Insight: High-growth potential but needs risk tolerance.

Data: Yahoo Finance

Visuals: Power BI dashboards, Excel

Focus: Investor decision-making using cumulative returns, risk metrics, and market sensitivity.





Return Analysis

Average Daily Return: 0.000412

Annualized Return: 11%

Excess Return: 7% over risk-free rate

Returns show modest growth over time, with short-term fluctuations.

Risk Profile (Volatility)

ABNB Volatility > Market Volatility (GSPC)

Annualized Volatility:

- ABNB: ~0.45
- GSPC: ~0.20

ABNB exhibits higher price variability

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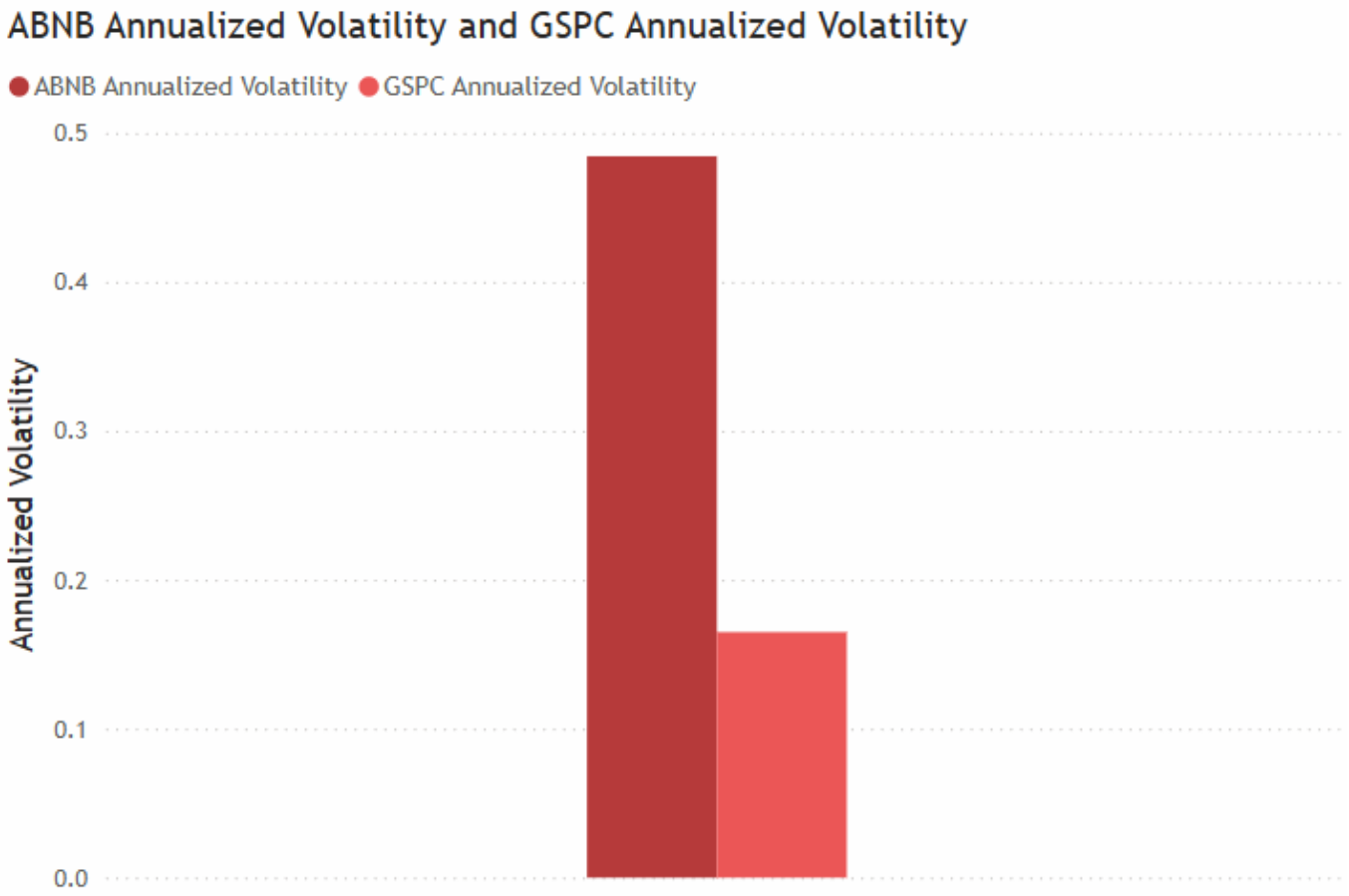
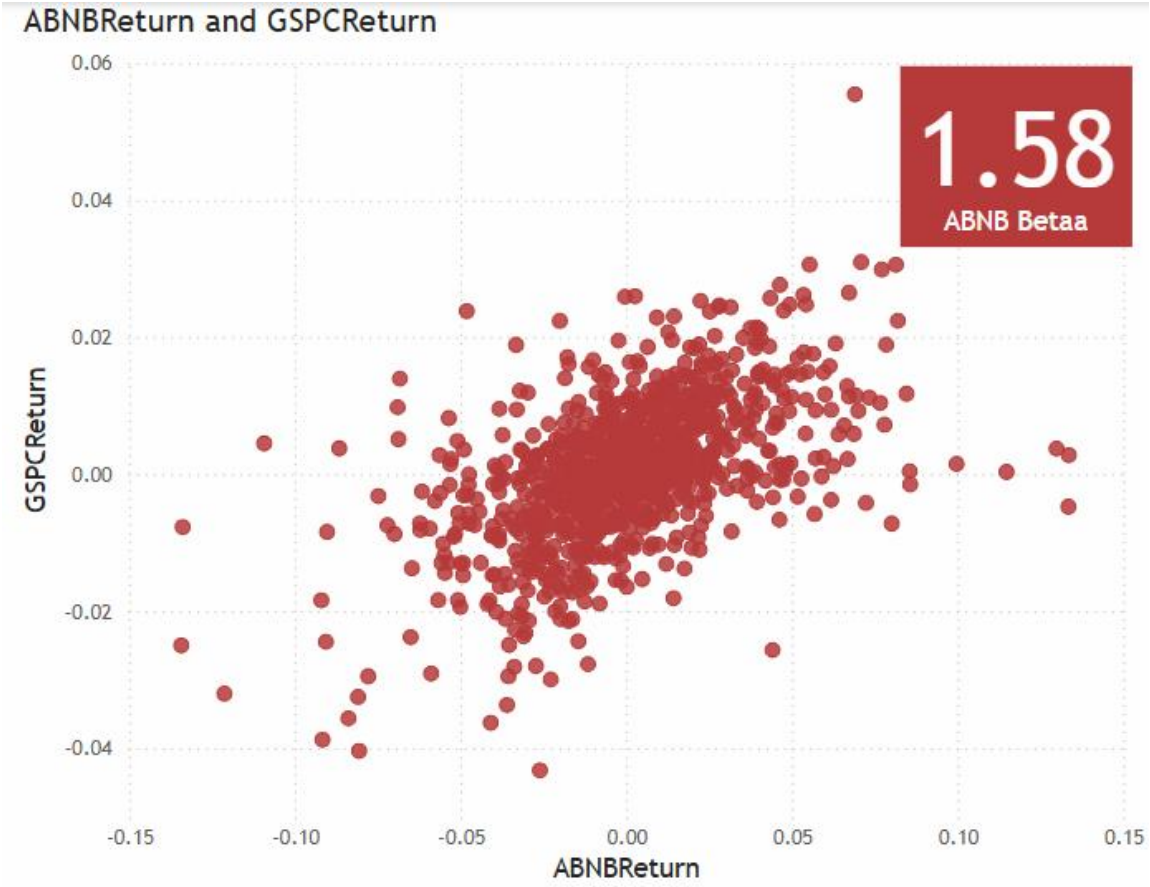
higher risk





Market Sensitivity

- ABNB has a Beta of 1.58, 58% more volatile than the market.
- It amplifies market movements — rises more when the market rises, drops more when it falls.
- Strong positive correlation with S&P 500 returns.
- Indicates higher risk and higher return potential.
- Suitable for aggressive investors aligned with market trends.

Investment Outlook

High beta = Growth Potential + Market Risk

Moderate return with high volatility: suitable for risk-tolerant investors

Strong correlation with market trends = good for momentum trading

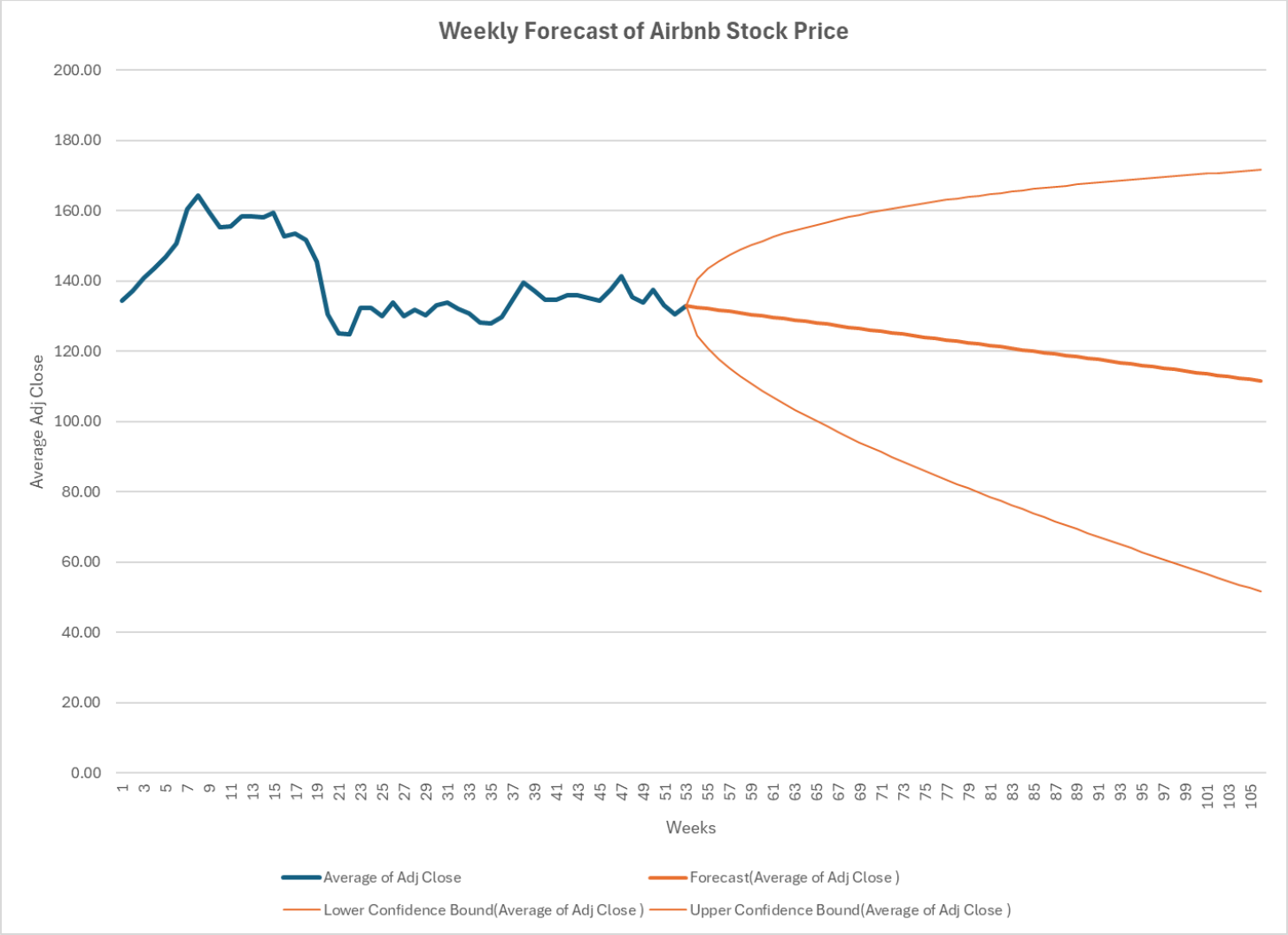
Future Forecast

Projected Performance:

- Expected trading range: 120–160
- Continued high volatility likely
- Confidence intervals show increasing uncertainty

Key Influencing Factors:

- Tourism demand recovery
- Regulatory changes
- Quarterly earnings reports
- Macroeconomic conditions



Conclusion

Airbnb is a **market amplifier**—rewarding for those who time risk wisely.

- **Returns:** 11% annualized but high volatility (45% vs. 20% market).
- **Beta of 1.58**, sensitive to economic cycles.

Key Implications

- **Short-term**: Prone to momentum-driven price swings, ideal for tactical traders.
- **Long-term**: Growth hinges on tourism recovery and macroeconomic factors.

Moving Forward

- **Watch**: Earnings, regulation, and consumer travel trends.
- **Balance**: High-risk asset—best paired with stable holdings in diversified portfolios.

Thank You!